

Swadeshi Medtech

India is trying to encourage local manufacturing of medical devices. Despite a host of incentives, it has had limited success

BY RICHA SHARMA



IMAGE BY RAHUL SHARMA/AI

RAMESH PATHAK, 40, who works as a clerk at a law firm in Delhi, was advised a coronary stent implant last year after doctors found an artery blockage, one of the symptoms of an impending heart attack. Pathak, who had a ₹1 lakh medical insurance policy, was recommended a locally made stent that was 30% cheaper than the imported version. His family was thinking of selling gold to pay for the imported stent but Pathak opted for the local model. A year later, he is fine, says Pathak. | 61

The initial hesitation felt by patients such as Pathak may be one of the reasons for the low adoption of locally made medical devices in the country of 1.4 billion people.

The government wants to change this. In order to meet demand, boost manufacturing and cut import dependence, it has extended its Production-Linked Incentive (PLI) scheme to 55 high-end medical devices, offering a 5% incentive on incremental sales for four years.

So far, 22 projects have come up from scratch to produce such devices, generating ₹12,344.37 crore in sales and ₹5,869.36 crore in exports.

Even so, India continues to import critical components like X-Ray tubes and detectors, the main parts of imaging equipment, limiting value addition to 40-50%. Cardiovascular complications are driving demand for implantable devices, yet stent price caps have narrowed margins.

“Manufacturers are therefore pursuing growth in Tier-2 and Tier-3 centres with affordable product lines. Continuous glucose monitors are gaining urban traction but rural uptake hinges on reimbursement pathways and point-of-care infrastructure,” says market researcher Modor Intelligence.

DETERIORATING HEALTH

India's health statistics are alarming. Cardiovascular disease is the biggest killer of people aged 30 years and above. The disease, which affects heart and blood